

Nikita Sherbina, CEO of AIScreen

This is a classic bootstrapping story with a very small team to serious revenue.

Sramana Mitra: Let's start at the very beginning of your journey. Where are you from? Where were you born and raised? What kind of background?

Nikita Sherbina: I was born and raised in Ukraine. I moved to the United States about six years ago without knowing anything about this land.

Sramana Mitra: Do you still have a lot of family in Ukraine now?

Nikita Sherbina: All of my family moved six years ago. We moved together. I do know people there whom I've known for a long time.

Sramana Mitra: Talk about your career. You came here six years ago to what part of the United States?

Nikita Sherbina: I moved to Arizona. We started our first startup there.

Sramana Mitra: Are you educated in Ukraine?

Nikita Sherbina: I did not get my education fully because we started doing startups. I dropped out of college.

Sramana Mitra: In the US, you started doing a design studio in Arizona. That was your first project?

Nikita Sherbina: That's right.

Sramana Mitra: Then what happened?

Nikita Sherbina: It didn't work out well. We had some customers, but we didn't like to be an agency. It wasn't something that we liked to do. We like to build beautiful designs but it was hard to scale. That is why we decided to change our business model and jump to a different niche. We wanted to provide solutions at scale. We had a couple of cool ideas which then resulted in AIScreen.

Sramana Mitra: Did you work in between at other places?

Nikita Sherbina: I was working as a product manager in other companies while we were doing our project.

Sramana Mitra: You got jobs in other companies as a product manager and were bootstrapping a startup with a paycheck.

Nikita Sherbina: That's right.

Sramana Mitra: Also in Arizona?

Nikita Sherbina: Yes.

Sramana Mitra: Talk to me about the period when you were doing this side by side. What kind of jobs were you doing? What were you learning and what were you doing on the startup side?

Nikita Sherbina: It wasn't easy. My family is from Ukraine and Crimea as entrepreneurs. We had a passion for business. For me, it was in my blood. I was working on my personal project after my shift. I wake up and work on one project and spend some time on my own project.

I was managing a lot of people remotely, because I was a product manager. It was working well because you can hire people from Ukraine, Russia, or the Philippines for really cheap. If you understand the market and you see the vision for a product and you take customer interviews so you understand the pain point, you can understand where to lead your company. This is what I was doing. I discovered different pain points. I created different features for both companies.

Sramana Mitra:: Talk about the two projects.

Nikita Sherbina: I was working in an AI-enabled tool company. It was for marketing and sales people. It helped communication between departments. For example, you can create multiple campaigns in sales. Marketing people can see all these statistics. We've 80 customers which generated \$80 million of revenue. It was a B2B SaaS business. We were providing a software platform.

Another personal project is a cloud-based solution designed to simplify and make more accessible the display of content to any screen. You can download an application and connect multiple screens in one software. All screens can be managed remotely from any location or to buy offline functionality.

Sramana Mitra: This is for trade shows and conferences? What is the primary use case for this kind of technology?

Nikita Sherbina: It's such a broad niche. We work in multiple niches. All screens that you can see even McDonald's. Imagine you want to change your description. This is where we come in. We have CRM where you can double-click on pictures and change any type of content on thousands of screens.

Sramana Mitra: How did you come up with this pain point?

Nikita Sherbina: We've seen the rise in the market. I was working as a product manager and I was doing a lot of market research. I've seen the digital signage market increase day by day. I've seen the trend. People need flexible and scalable solutions. By just observing the reality

and seeing that some restaurants have this pain point, there was no product that could broadcast in multiple screens.

Sramana Mitra: The fact that you were a product manager in a related space gave you lots of market research and visibility into the other related problems in the marketing automation space. That's how you identified this problem.

Nikita Sherbina: It's a little bit deeper. If you're trying to find new businesses, it's better to see where the different markets are going. You start doing research on a trend and trying to understand the whole niche.

Sramana Mitra: What process did you follow? Did you, straight away, start building a product? Did you have customers?

Nikita Sherbina: We knew about digital menu boards. They need to reprint a menu board. Even my father owned a restaurant a long time ago back in my country. He always had this problem of changing menus. It stuck with me and I always knew there was a problem. After I started exploring more and more, I can see people put labels on their menu boards because they don't want to reprint it. You can see that it doesn't look good.

The devil is in the details. You need to have a good eye. What can I solve? What kind of problem does this business have? If you think this way all the time, you start seeing patterns all around. You can see what kind of problems people have. The more you observe, the more patterns you can see around yourself.

Sramana Mitra: How did you get your first customer? It sounds like you had a personal experience as well as observed experience of identifying the problem. How did you get to the first customer?

Nikita Sherbina: We outsource sales people and back in my country, we educate them. We educate those sales reps how to gather emails from LinkedIn. You go to Google Maps. You search 100 different locations with restaurants. You schedule those with your offer. You get a response.

Sramana Mitra: How many of these reps did you get?

Nikita Sherbina: One.

Sramana Mitra: Based on that one rep, how many customers were you able to get? How long did it take you to get the first customer?

Nikita Sherbina: It took under two months to get that first customer together with educating. We started adding one to two customers per month.

Sramana Mitra: These were prospects or customers?

Nikita Sherbina: They were just prospects. They didn't know the solution. You own a coffee shop. They don't know anything about digital menu boards. You need to understand the proposition really well before cold-calling. When you jump on a call, then you discover the pain point and say you can solve it. People like it.

Sramana Mitra: If you look at the period where you were developing the MVP, how long was that? How many customers did you have at this point?

Nikita Sherbina: If you don't feel embarrassed for your product, that means you came in to the market too late. When we started selling our software, we didn't even have an MVP. You cannot even broadcast anything on the screen. We had this software built after the next two weeks. We go from there.

Sramana Mitra: How many customers did you sell that too?

Nikita Sherbina: One. Then next month, we talked to another one and so on.

Sramana Mitra: How much did you charge?

Nikita Sherbina: Not much. About \$500 annual subscription. If you have 10 locations, it is 500 times 10.

Sramana Mitra: All of this was happening while you had your product management job?

Nikita Sherbina: When I started getting the first few customers, I decided to quit.

Sramana Mitra: How long into the process was that? How long did you do the bootstrapping with a paycheck before you quit?

Nikita Sherbina: In about five to six months.

Sramana Mitra: When was that?

Nikita Sherbina: Almost four years ago.

Sramana Mitra: That was before the pandemic.

Nikita Sherbina: It was a good time. When the pandemic hit, we started going a little bit down. People were not visiting restaurants as much.

Sramana Mitra: At that point, how many customers did you have before the pandemic hit?

Nikita Sherbina: About 20 customers. It wasn't super hard because it was outsourced to people in the UK, so we had a good margin.

Sramana Mitra: Was it all bootstrapped?

Nikita Sherbina: Yes.

Sramana Mitra: When restaurants started not functioning with the pandemic, how did that change your business?

Nikita Sherbina: We started looking for new opportunities. You need to adapt. So many opportunities crashed but the same amount has risen. You just need to understand where to go.

Sramana Mitra: Where did you go?

Nikita Sherbina: Healthcare. We started solving the problems for the biggest audience. In healthcare, you have different directories like building directories. You have different signs. For corporate, we started doing different applications. It was mostly healthcare.

Sramana Mitra: Was it just you and your Ukrainian developers at this point?

Nikita Sherbina: No. One was a developer and the other was a designer. I'm the Product Manager, Sales. One guy was building it. Another guy was designing it. I was trying to build a sales team and thinking about different features. If you have a couple of people, you can do a lot. I don't think you even need a good developer. You need to solve before you build.

Sramana Mitra: I agree.

Nikita Sherbina: You can always hire people.

Sramana Mitra: In 1Mby1M, we have a maxim. Do not write a line of code until you figure out who's your customer and what that customer wants and needs. Let's talk about product roadmap. You were still working on screens. Your apps were all powering different screen environments.

Nikita Sherbina: Yes.

Sramana Mitra: Is healthcare now emerging as your biggest market?

Nikita Sherbina: No, actually digital menu boards – restaurant and retail. All malls are open again.

Sramana Mitra: So it's back to your original thesis.

Nikita Sherbina: Also advertisements.

Sramana Mitra: You're still using the model of selling with Ukrainian salespeople?

Nikita Sherbina: No, it's hard to scale. You need to think of scale all the time. Where can I leverage with less amount of work and time? Direct sales do not work very well for us.

Sramana Mitra: The price point is too small for direct sales.

Nikita Sherbina: Yes. It's just too much to handle. We believe that small teams perform the best and are trying to keep the teams as small as possible.

Sramana Mitra: What go-to-market strategy converts for you the best?

Nikita Sherbina: We are changing our go-to-market strategy. At this point, we gained some customers and people just know us.

Sramana Mitra: Is it pure word-of-mouth?

Nikita Sherbina: No, we have positioned in the market compared to other digital signage companies. We position ourselves as middle-priced.

Sramana Mitra: You're at about \$5 million annual revenue?

Nikita Sherbina: Yes, we're at \$7 million now.

Sramana Mitra: What is the AI element to this? You have AI on your name.

Nikita Sherbina: You have screens. Imagine you're in retail. You want to understand what kind of customers watch your screen. We have different sensors on the screen that can understand who you are, your age, gender, and how many people are next to the screen, and the duration. It can learn and understand who watches those screens.

Sramana Mitra: This \$7 million ARR business that you've built, is it more in the multi-location mid-sized business category or is it more in the single location category.

Nikita Sherbina: It's mostly medium and large-sized businesses. We have big customers who have multiple locations all around the world.

Sramana Mitra: You're still completely bootstrapped?

Nikita Sherbina: Yes.

Sramana Mitra: That's great.

Nikita Sherbina: The key is to get together with like-minded people. You can build everything.

Sramana Mitra: How many people are you now?

Nikita Sherbina: 15 people.

Sramana Mitra: Fantastic! Thank you for your time.